CRED III Master Funds

Combined Financial Statements
December 31, 2024

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Report of Independent Auditors

To the General Partner of CRED III Master Fund L.P. and CRED III Holdings L.P.

Opinion

We have audited the accompanying combined financial statements of CRED III Master Fund L.P. and CRED III Holdings L.P. (collectively the "Fund"), which comprise the combined statement of assets, liabilities and capital, including the combined schedule of investments, as of December 31, 2024, and the related combined statements of operations, of changes in capital and of cash flows, including the related notes for the year then ended (collectively referred to as the "combined financial statements").

In our opinion, the accompanying combined financial statements present fairly, in all material respects, the financial position of the Fund as of December 31, 2024, and the results of its operations, changes in its capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Combined Financial Statements section of our report. We are required to be independent of the Fund and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Combined Financial Statements

Management is responsible for the preparation and fair presentation of the combined financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of combined financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the combined financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Fund's ability to continue as a going concern for one year after the date the combined financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Combined Financial Statements

Our objectives are to obtain reasonable assurance about whether the combined financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the combined financial statements.

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the combined financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the combined financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Fund's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the combined financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Fund's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers LLP

Los Angeles, California

March 31, 2025

CRED III Master Funds
Combined Statement of Assets, Liabilities and Capital
December 31, 2024

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Assets			
Investments, at fair value (cost $234,754,410 and $77,969,891 respectively)	$ 242,076,244	$ 84,776,539	$ 326,852,783
Cash	24,888,325	216,519	25,104,844
Restricted cash	5,729,000	-	5,729,000
Interest receivable	567,143	283,935	851,078
Deferred financing costs, net	87,290	81,635	168,925
Other assets	-	75,000	75,000
Total assets	$ 273,348,002	$ 85,433,628	$ 358,781,630
Liabilities and Capital			
Repurchase facilities payable	$ 114,279,536	$ -	$ 114,279,536
Interest payable	1,820,115	278	1,820,393
Credit facility payable	1,494,124	231,166	1,725,290
Management fee payable	469,068	420,333	889,401
Due to affiliates	357,892	341,225	699,117
Deferred loan fees, net	-	186,198	186,198
Accounts payable and accrued expenses	32,600	55,600	88,200
Total liabilities	118,453,335	1,234,800	119,688,135
Commitments and contingencies (Note 9)			
Partners' capital	154,894,667	84,073,828	238,968,495
Non-controlling interest	-	125,000	125,000
Total capital	154,894,667	84,198,828	239,093,495
Total liabilities and capital	$ 273,348,002	$ 85,433,628	$ 358,781,630

The accompanying notes are an integral part of these combined financial statements.

CRED III Master Funds
Combined Schedule of Investments
December 31, 2024

Investments (136.7% of capital)

Description	Ownership Percentage	Cost Basis	Fair Value	Fair Value as Percentage of Capital
Mortgage-backed security investments				
FREMF 2022-KF134 Multifamily Mortgage Pass-Through Certificates, Class CS [(1)]	7.5%	$ 48,363,456	$ 48,363,456	20.2%
FREMF 2022-KF145 Multifamily Mortgage Pass-Through Certificates, Class CS [(1)]	7.5%	54,685,226	54,685,226	22.9%
FREMF 2022-KF151 Multifamily Mortgage Pass-Through Certificates, Class CS [(1)]	7.5%	58,603,532	59,084,962	24.6%
Total mortgage-backed security investments		161,652,214	162,133,644	67.7%
Preferred equity investments				
South Tryon Flats - Charlotte, NC	56.2%	19,937,830	22,435,228	9.4%
Navona - Mesa, AZ	43.3%	31,260,194	33,629,632	14.1%
Towerview at Ballantyne - Charlotte, NC	34.9%	12,476,173	14,134,366	5.9%
The Valiant - Berkeley, CA	33.6%	5,235,308	5,476,670	2.3%
Aer Lamar - Austin, TX	36.2%	4,192,419	4,245,141	1.8%
Inspire Sonoran Desert - Phoenix, AZ	31.1%	272	21,563	0.0%
Total preferred equity investments		73,102,196	79,942,600	33.5%
Real estate loan investments				
35 Stone - Seattle, WA	100.0%	26,053,926	26,053,926	10.9%
JP Morgan Facility Portfolio – Various [(2)]	51.0%	51,915,965	58,722,613	24.6%
Total real estate loan investments		77,969,891	84,776,539	35.5%
Total investments		**$ 312,724,301**	**$ 326,852,783**	**136.7%**

[(1)] Loan or portion thereof is pledged as collateral supporting the outstanding secured borrowings with repurchase facilities.

[(2)] The JP Morgan Facility Portfolio is levered with a senior participation from JP Morgan and the related values are shown net of such senior participation.

The accompanying notes are an integral part of these combined financial statements.

CRED III Master Funds
Combined Statement of Operations
Year Ended December 31, 2024

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Investment income			
Interest income	$ 24,910,340	$ 2,988,565	$ 27,898,905
Dividend income	-	879,441	879,441
Other income	161,708	136,570	298,278
Total investment income	25,072,048	4,004,576	29,076,624
Expenses			
Interest expense	10,627,763	761,519	11,389,282
Management fees	1,463,553	1,367,059	2,830,612
Professional fees	281,415	293,904	575,319
Administrative fees	393,424	54,065	447,489
Amortization of deferred financing costs	186,180	186,300	372,480
Organizational costs	166,039	166,039	332,078
Other expenses	158,882	80,287	239,169
Total expenses	13,277,256	2,909,173	16,186,429
Net investment income (loss)	11,794,792	1,095,403	12,890,195
Change in unrealized gain (loss) on investments			
Change in unrealized gain (loss) on investments	4,208,390	5,201,272	9,409,662
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interest	16,003,182	6,296,675	22,299,857
Dividends to non-controlling interest	-	(15,000)	(15,000)
Net increase (decrease) in capital	$ 16,003,182	$ 6,281,675	$ 22,284,857

The accompanying notes are an integral part of these combined financial statements.

CRED III Master Funds
Combined Statement of Changes in Capital
Year Ended December 31, 2024

	General Partner	Limited Partners	Non-controlling Interest	Total
CRED III Master Fund L.P.				
Capital as of December 31, 2023	$ -	$ 82,178,392	$ -	$ 82,178,392
Net investment income (loss)	-	11,794,792	-	11,794,792
Change in unrealized gain (loss) on investments	-	4,208,390	-	4,208,390
Net increase (decrease) in capital resulting from operations	-	16,003,182	-	16,003,182
Syndication costs	-	(42,138)	-	(42,138)
Contributions	-	91,107,154	-	91,107,154
Distributions	-	(34,351,923)	-	(34,351,923)
Total increase (decrease) in capital	-	72,716,275	-	72,716,275
Capital as of December 31, 2024	$ -	$ 154,894,667	$ -	$ 154,894,667
CRED III Holdings L.P.				
Capital as of December 31, 2023	$ -	$ 40,410,917	$ 125,000	$ 40,535,917
Net investment income (loss)	-	1,095,403	-	1,095,403
Change in unrealized gain (loss) on investments	-	5,201,272	-	5,201,272
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	6,296,675	-	6,296,675
Syndication costs	-	(42,138)	-	(42,138)
Contributions	-	72,746,592	-	72,746,592
Distributions	(347,118)	(34,976,100)	-	(35,323,218)
Dividends to non-controlling interest	-	(15,000)	15,000	-
Payments of dividends to non-controlling interest	-	-	(15,000)	(15,000)
Carried interest	519,465	(519,465)	-	-
Total increase (decrease) in capital	172,347	43,490,564	-	43,662,911
Capital as of December 31, 2024	$ 172,347	$ 83,901,481	$ 125,000	$ 84,198,828
CRED III Master Funds (Combined)				
Capital as of December 31, 2023	$ -	$ 122,589,309	$ 125,000	$ 122,714,309
Net investment income (loss)	-	12,890,195	-	12,890,195
Change in unrealized gain (loss) on investments	-	9,409,662	-	9,409,662
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	22,299,857	-	22,299,857
Syndication costs	-	(84,276)	-	(84,276)
Contributions	-	163,853,746	-	163,853,746
Distributions	(347,118)	(69,328,023)	-	(69,675,141)
Dividends to non-controlling interest	-	(15,000)	15,000	-
Payments of dividends to non-controlling interest	-	-	(15,000)	(15,000)
Carried interest	519,465	(519,465)	-	-
Total increase (decrease) in capital	172,347	116,206,839	-	116,379,186
Capital as of December 31, 2024	$ 172,347	$ 238,796,148	$ 125,000	$ 239,093,495

The accompanying notes are an integral part of these combined financial statements.

CRED III Master Funds
Combined Statement of Cash Flows
Year Ended December 31, 2024

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Cash flows from operating activites			
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interest	$ 16,003,182	$ 6,296,675	$ 22,299,857
Adjustments to reconcile net increase (decrease) in capital resulting from operations to net cash provided by (used in) operating activities:			
Purchases of investments	(62,480,195)	(31,903,055)	(94,383,250)
Distributions from investments	44,953,559	879,441	45,833,000
Paid-in-kind interest	(2,497,397)	-	(2,497,397)
Dividend income	-	(879,441)	(879,441)
Change in unrealized gain (loss) on investments	(4,208,390)	(5,201,272)	(9,409,662)
Amortization of deferred loan fees	-	(136,570)	(136,570)
Amortization of deferred financing costs	186,180	186,300	372,480
Changes in assets and liabilities:			
Interest receivable	147,948	(138,739)	9,209
Due from affiliates	881,548	522,614	1,404,162
Due to affiliates	357,892	341,225	699,117
Interest payable	708,281	(435,722)	272,559
Management fee payable	88,319	118,335	206,654
Accounts payable and accrued expenses	27,600	55,600	83,200
Net cash provided by (used in) operating activities	(5,831,473)	(30,294,609)	(36,126,082)
Cash flows from financing activities			
Contributions	91,107,154	72,746,592	163,853,746
Payments of preferred dividends	-	(15,000)	(15,000)
Distributions	(34,351,923)	(35,323,218)	(69,675,141)
Borrowings from credit facility	57,786,627	23,342,291	81,128,918
Payments to credit facility	(81,611,126)	(64,030,723)	(145,641,849)
Payments to repurchase agreements	(18,973,564)	-	(18,973,564)
Payment of deferred financing costs	(33,989)	(28,454)	(62,443)
Syndication costs	(42,138)	(42,138)	(84,276)
Net cash provided by (used in) financing activities	13,881,041	(3,350,650)	10,530,391
Net change in cash and restricted cash	8,049,568	(33,645,259)	(25,595,691)
Cash and restricted cash - beginning of year	22,567,757	33,861,778	56,429,535
Cash and restricted cash - end of year	$ 30,617,325	$ 216,519	$ 30,833,844
Cash and restricted cash reconciliation			
Cash	$ 24,888,325	$ 216,519	$ 25,104,844
Restricted cash	5,729,000	-	5,729,000
Total cash and restricted cash	$ 30,617,325	$ 216,519	$ 30,833,844
Supplemental disclosure of cash flow financing activities			
Cash paid for interest	$ 9,919,482	$ 1,197,241	$ 11,116,723

The accompanying notes are an integral part of these combined financial statements.

1. Organization

CRED III Master Fund L.P. (the "Master Fund") and CRED III Holdings L.P. (the "Holdings Fund"), collectively referred to herein as "CRED III Master Funds" or the "Funds". The Funds were formed as Delaware limited partnerships on December 10, 2021 and commenced operations on April 7, 2022. The Holdings Fund invests through CRED III REIT LLC, a Delaware limited liability company (the "REIT Fund"). The Funds' objectives are to seek current income and capital appreciation through investments in a wide range of commercial real estate debt and debt-like investments, including senior loans, mezzanine loans, development and construction loans, debt participation interests, private and publicly traded debt securities, participating debt, and preferred equity with debt-like characteristics. The Funds expect that investment opportunities will include providing financing for the acquisition, refinancing, recapitalization, development and construction of commercial real estate, as well as discounted payoffs and the acquisition of performing and non-performing loans.

The Master Fund's Limited Partnership Agreement (the "Master Agreement") was entered into by CRED III GP Co. LLC, a Delaware limited liability company, as General Partner (the "General Partner"), Canyon US Real Estate Debt Fund III L.P., a Delaware limited partnership (the "Unblocked Feeder") and CRED III Intermediate Fund L.P., a Delaware limited partnership (the "Intermediate Fund"). The Holdings Fund's Limited Partnership Agreement (the "Holdings Agreement") was entered into by the General Partner, the Unblocked Feeder and CRED III Aggregation Fund L.P., a Delaware limited partnership (the "Aggregation Fund"). The Master Agreement and the Holdings Agreement are collectively referred to herein as the "Agreements". An affiliate of the General Partner, Canyon Partners Real Estate LLC, a Delaware limited liability company (the "Investment Advisor"), acts as the investment advisor for the Funds. Capitalized terms not defined herein are defined in the Agreements.

These combined financial statements include the accounts of the Master Fund and the Holdings Fund, which are separate legal entities and as such, separate accounts are maintained. The Holdings Fund account includes the consolidation of the REIT Fund and references to the Holdings Fund within the combined financial statements include the REIT Fund. As the entities have a common business purpose, common management and common ownership, the General Partner has concluded that presentation of these financial statements on a combined basis provides the most meaningful information. Inter-partnership transactions and balances have been eliminated in these combined financial statements.

Distributions, net income, and net losses will be allocated to the Limited Partners in a manner consistent with the Agreements, which provides for a hypothetical liquidation at fair value of the Funds' assets and liabilities as of the date of presentation and as recorded on the accompanying combined statement of assets, liabilities and capital, as further described in Note 8.

2. Summary of Significant Accounting Policies

Basis of Presentation – The accompanying financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("GAAP"). Management has determined that each of the Funds is an investment company in conformity with GAAP. Therefore, the Funds' financial statements are prepared in accordance with the Financial Services – Investment Companies Topic of the FASB Accounting Standards Codification ("ASC"). Additionally, the Funds make investments through Special Purpose Vehicles (collectively "SPVs") and are the managing member of those SPVs. In accordance with ASC 946, the Funds consolidates 100% owned SPVs, but does not consolidate majority-owned and controlled investments.

Use of Estimates – The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the combined financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

The real estate and capital markets are cyclical in nature. Property investment values are affected by, among other things, the availability of capital, occupancy rates, rental rates, interest rates, and inflation rates. As a result, determining real estate and investment values involves many assumptions. Amounts ultimately realized from each investment may vary significantly from the fair values presented.

Valuation and Liquidity Risk – The Funds may invest in real estate related loans and preferred equity for which no liquid market exists. The market prices for such investments may be volatile and may not be readily ascertainable. As a result, amounts ultimately realized by the Funds from investments sold may differ from the fair values presented, and the differences could be material.

The Fund’s mortgage-backed security transactions, and the related money balances with the master repurchase agreements and borrowings are transacted with financial institutions, which may exceed federally insured limits. The Fund is subject to counterparty risk to the extent any financial institution or counterparty with which it conducts business is unable to fulfill contractual obligations on its behalf. The Fund monitors the financial condition of such financial institutions. Risk is generally minimized by limiting the Fund’s exposure to reputable financial institutions with which it enters into financial transactions and the Fund does not anticipate any losses from these counterparties.

Diversification Risk – The assets of the Funds are concentrated in the real estate sector. Accordingly, the investment portfolio of the Funds may be subject to more rapid change in value than would be the case if the Funds were to maintain a wide diversification among investments or industry sectors.

Concentrations of Market, Interest Rate and Credit Risk – Concentrations of market, interest rate and credit risk may exist with respect to the Funds’ investments and its other assets and liabilities. Market risk is a potential loss the Funds may incur as a result of changes in the fair value of its investments. The Funds may also be subject to risk associated with concentrations of investments in geographic regions and industries. Interest rate risk includes the risk associated with changes in prevailing interest rates. In the normal course of its activities, the Funds may employ derivative financial instruments. These derivatives are predominantly used for managing risk associated with the Funds’ portfolio of investments. Credit risk includes the possibility that a loss may occur from the failure of counterparties or issuers to make payments according to the terms of a contract. The Funds’ exposure to credit risk at any point in time is generally limited to amounts recorded as assets on the statement of assets, liabilities and capital.

Cash – The Funds maintain cash in a commercial bank. Balances on deposit are insured by the Federal Deposit Insurance Corporation (“FDIC”) up to specified limits. Balances in excess of FDIC limits are uninsured. From time to time, cash deposits may be in excess of the FDIC insured limits.

Investment Valuation – Investments are presented at estimated fair value. The Funds’ portfolio is comprised of limited liability companies (“LLC”) that invest in mortgage-backed securities, preferred equity investments, and real estate loan investments. The investments are collateralized by real estate properties. Real estate properties may be of any property type including multifamily, mixed use, hospitality, condominiums, industrial, office, retail, entertainment, senior housing, student housing, single family rental, studios, life science, data centers, storage facilities, and in limited circumstances, land. The valuations of the Funds’ investments are determined in a manner that most fairly reflects the fair value of these investments as of the valuation date. The fair value measurement assumes the highest and best use of the asset.

The Funds reflect their investments net of any investment level financing. Valuation adjustments attributable to underlying financing arrangements are considered in the investment valuation based on amounts at which the financing liabilities could be transferred in a current transaction. Additionally, the fair value of the investment takes into consideration the terms of the LLC agreement, as applicable, including, but not limited to, any elements that would cause a disproportionate allocation of distributions, such as property level promote structures. All investments are initially recorded at cost, which includes transaction costs.

The Investment Advisor performs a quarterly valuation using one or a combination of valuation methodologies consistent with industry practice. The methodology or combination of methodologies utilized to value a particular property will be selected based on a determination of which approach provides the strongest evidence and support for the fair value of the investment. The primary methodology used is the income capitalization approach, whereby value is derived by determining the present value of a stream of future cash flows, which includes one or more principal repayments at the end of the holding period. Such amounts are discounted at a rate of return, one that a market participant would require to purchase the investment. The discounted cash flow method incorporates subjective judgments regarding credit quality, debt covenants, the ability of the debtor to meet current obligations of the loan, comparable rental and/or sales data, operating expense data, the capitalization and/or discount rate, and projections of future rent and/or sales.

(i) Investments in mortgage-backed securities – The fair value of mortgage-backed securities are generally estimated using recently executed transactions or market price quotations. When observable inputs are not available, fair value is determined based on cash flow models using prepayment rates, probability of default, and loss severity in the event of default as key inputs. Mortgage-backed securities are generally categorized in Level 2 of the fair value hierarchy. In instances where significant inputs are unobservable, they are generally categorized in Level 3 of the fair value hierarchy.

(ii) Investments in preferred equity and real estate loans– Estimates of fair value also consider, among other things, the value of the collateral securing the loan, credit quality, debt covenants, the ability of the debtor to meet current obligations, operating results and other appropriate information to estimate a market rate of interest and support the fair market value of an investment.

Deferred Loan Fees, Net – Commitment fees earned in connection with originating loan investments are deferred and amortized over the term of the respective loan investment using the straight-line method. As of December 31, 2024, the Company had deferred loan fees of $476,875, net of accumulated amortization of $290,677, of which $136,570 was accreted to income during the year ended December 31, 2024, and is included in other income in the accompanying combined statement of operations.

Deferred Financing Costs, Net – Debt financing costs, which include costs incurred by the Funds in connection with obtaining financing, are deferred and amortized on a straight-line basis, which approximates the effective interest method, over the life of the related financing, and are recorded as amortization of deferred financing costs on the statement of operations.

Income Recognition – Revenues are recognized when earned and expenses when incurred. Securities transactions are accounted for on the trade date, the date the order to buy or sell is executed, or in cases of private investments, upon the closing of the transaction. Realized gains and losses on realizations of investments are determined on the identified cost of the investments sold. Interest income, including paid-in-kind interest income ("PIK") is recognized on an accrual basis. Any original issue discounts ("OID"), as well as any other purchase discounts or premiums on debt investments, are accreted or amortized and included in other income, over the maturity periods of the investment using the effective yield method. When a scheduled interest payment is not received or when the Investment Advisor determines that the accrued interest is not collectible, the Funds will place the security on non-accrual status and will cease recognizing interest income (including amortization/accretion). However, the Funds remain contractually entitled to this interest income.

Income Taxes – The Funds are not subject to income taxes. Instead, the partners report their distributive share of the Funds' taxable profits, losses and credits on their respective income tax returns.

REIT Fund operates and has elected to be taxed as a REIT commencing with the taxable year ended December 31, 2022. As a result of REIT Fund's REIT qualification and its distribution policy, REIT Fund does not generally expect to pay U.S. federal corporate level income taxes. Many of the REIT requirements, however, are highly technical and complex. To qualify as a REIT, REIT Fund must meet a number of organizational and operational requirements, including a requirement that REIT Fund distributes annually at least 90% of REIT Fund's REIT taxable income to REIT Fund's shareholders. If REIT Fund has previously qualified as a REIT and fails to qualify as a REIT in any subsequent taxable year and does not qualify for certain statutory relief provisions, REIT Fund will be subject to U.S. federal and state income taxes at regular corporate rates (including any applicable alternative minimum tax) and may be precluded from qualifying as a REIT for REIT Fund's four subsequent taxable years. Even if REIT Fund qualifies for taxation as a REIT, REIT Fund may be subject to certain U.S. federal, state, local and foreign taxes on REIT Fund's income and property and to U.S. federal income and excise taxes on REIT Fund's undistributed REIT taxable income.

The Funds determine whether a tax position of the Funds is more likely than not to be sustained upon examination, including resolution of any related appeals or litigation processes, based on the technical merits of the position. For tax positions meeting the more likely than not threshold, the tax amount recognized in the financial statements is reduced by the largest benefit that has a greater than fifty percent likelihood of being realized upon ultimate settlement with the relevant taxing authority. The Funds have determined that there was no uncertain tax position as of December 31, 2024.

The Funds file tax returns as prescribed by the tax laws of the jurisdictions in which they operate. In the normal course of business, the Funds are subject to examination by federal, state, and local jurisdictions, where applicable.

Fair Value of Financial Instruments – The FASB ASC topic related to accounting for the fair value of financial assets and financial liabilities permits entities to choose, at specified election dates, to measure many financial instruments and certain other items at fair value that are not currently required to be measured at fair value. Unrealized gains and losses shall be reported on items for which the fair value option has been elected in earnings at each subsequent reporting date.

Organization and Syndication Costs – According to the Agreement, the Funds shall bear all costs and expenses incurred in connection with the organization of, and the offering and sale of interests in the Funds. Organization and syndication costs in excess of $2,500,000 ("Excess Organizational Expenses") shall reduce management fees.

3. Investments

As of December 31, 2024, the Funds had $302,479,906 of unfunded commitments associated with its investments. Development and construction loans are typically funded as costs are incurred over the projects' construction period. The following table presents the terms of the investments in real estate made by the SPVs:

Description	Property Type	Interest Rate	Date Originated	Maturity Date	Commitment
FREMF 2022-KF134 Multifamily Mortgage Pass-Through Certificates, Class CS	Multifamily	SOFR+4.25%	4/1/2022	3/25/2032	$ 69,754,000
FREMF 2022-KF145 Multifamily Mortgage Pass-Through Certificates, Class CS	Multifamily	SOFR+6.0%	11/1/2022	10/25/2032	64,535,000
FREMF 2022-KF151 Multifamily Mortgage Pass-Through Certificates, Class CS	Multifamily	SOFR+6.15%	2/1/2023	1/25/2033	72,838,000
South Tryon Flats - Charlotte, NC	Multifamily	12.0%	12/7/2022	12/7/2025	20,000,000
Navona - Mesa, Arizona	Multifamily	13.5%	10/31/2023	10/31/2027	31,247,207
Towerview at Ballantyne - Charlotte, NC	Multifamily	SOFR+8.5%	2/13/2024	2/13/2028	12,559,697
The Valiant - Berkeley, CA	Student Housing	15.0%	9/19/2024	9/19/2027	10,000,000
Aer Lamar - Austin, TX	Multifamily	13.0%	11/25/2024	11/25/2028	24,803,550
Inspire Sonoran Desert - Phoenix, AZ	Multifamily	13.5%	12/13/2024	6/13/2028	26,373,484
35 Stone - Seattle, WA	Office	SOFR+8.1%	11/14/2022	5/14/2026	27,250,000
One22One - Nashville, TN	Office	SOFR+5.45%	8/29/2023	9/11/2025	174,580,000
Wynhouse - Miami, FL	Multifamily	SOFR+5.45%	6/29/2023	7/11/2026	117,500,000
Sunnyside Studio Campus - New York, NY	Studio Campus	SOFR+6.85%	7/13/2023	7/13/2026	193,580,000
745 4th Avenue - Brooklyn, NY	Multifamily	SOFR+6.0%	3/12/2024	3/12/2027	96,000,000

On June 28, 2023, a subsidiary of the REIT Fund, of which the REIT Fund owns a 51% interest, entered into a $500,000,000 non-recourse match-term senior participation (the "JP Morgan Facility"). The JP Morgan Facility Portfolio includes One22One, Wynhouse, Sunnyside Studio Campus, and 745 4th Avenue investments and were levered by the match-term senior participation with the following terms:

Investments	Advance Rate	Interest Rate
One22One	72.5%	SOFR + 4.25%
Wynhouse	70.0%	SOFR + 4.20%
Sunnyside Studio Campus	62.5%	SOFR + 4.85%
745 4th Avenue	70.0%	SOFR + 4.35%

As of December 31, 2024, the senior participation is $225,402,825. Unfunded commitments related to the four closed investments are $171,605,175 and the remaining $102,992,000 of the match-term senior participation may be used as a source of leverage for prospective investments going forward. Proceeds from the repayment of loans within the agreement will be distributed pro-rata between the Senior Participant and the subsidiary of the REIT Fund until the earlier of (i) June 28, 2027 or (ii) there are three or fewer loans outstanding. Thereafter, proceeds from repayments will be distributed 100% to the senior participation until such time as the senior participant is repaid.

4. Fair Value

The FASB ASC Topic related to accounting for fair value measurements establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value into the following three broad categories:

Level 1 Quoted unadjusted prices for identical instruments in active markets to which the Funds have access at the date of measurement.

Level 2 Quoted prices for similar instruments in active markets; quoted prices for identical or similar instruments in markets that are not active; and model-derived valuations in which all significant inputs and significant value drivers are observable in active markets. Level 2 inputs are those in markets for which there are few transactions, the prices are not current, little public information exists or instances where prices vary substantially over time or among brokered market makers.

Level 3 Model derived valuations in which one or more significant inputs or significant value drivers are unobservable. Unobservable inputs are those inputs that reflect the Funds' own assumptions that market participants would use to price the asset or liability based on the best available information.

The Funds have performed an analysis of their investments to determine the significance and character of all inputs to their fair value determination. The following tables show quantitative information about unobservable inputs related to the Level 3 fair value measurements as of December 31, 2024:

	Fair value measurements as of December 31, 2024:			
	Level 1	**Level 2**	**Level 3**	**Total**
Mortgage-backed securities	$ -	$ 162,133,644	$ -	$ 162,133,644
Preferred equity	-	-	79,942,600	79,942,600
Real estate loans	-	-	84,776,539	84,776,539
Total Investments	**$ -**	**$ 162,133,644**	**$ 164,719,139**	**$ 326,852,783**

Property Type	**Valuation Technique**	**Unobservable Inputs**	**Weighted Average [1] (Range)**
Multi-family	Discounted cash flows	Discount Rate	13.5% (9.8% - 16.6%)
Office	Discounted cash flows	Discount Rate	11.2% (9.8% - 12.5%)
Studio Campus	Discounted cash flows	Discount Rate	12.0% [2]
Student Housing	Discounted cash flows	Discount Rate	17.3% [2]

[1] Weighted average based on investments' fair value.

[2] There is no range as there is only one investment related to this category.

Assumptions vary significantly depending on the type and opportunistic nature of the investments. Significant changes in any of the above inputs in isolation would result in significantly lower or higher fair value measurements. There are no Level 1 assets or liabilities.

The following table presents assets measured at fair value on a recurring basis using significant unobservable inputs (Level 3) at December 31, 2024:

Assets at Fair Value Using Unobservable Inputs (Level 3)		Long Term Investments
Balance at January 1, 2024	$	73,098,250
Purchases of investments		94,396,115
Distributions from investments		(15,683,851)
Dividend income		879,441
Change in unrealized gain (loss) on investments		12,029,184
Balance at December 31, 2024	$	164,719,139

5. Credit Facility

On April 11, 2022, the Funds entered into a $75,000,000 secured revolving credit facility with City National Bank ("Bridge Credit Facility") with a Termination Date of May 26, 2022. Borrowings were made at the discretion of the Investment Advisor. The Funds were jointly and severally liable for the outstanding borrowings.

The Bridge Credit Facility bore interest at a rate equal to the greater of 2.50% or the Prime Rate less 0.75%. Principal and interest were paid in full on the Termination Date.

On May 26, 2022, the Funds entered into a $100,000,000 secured revolving credit facility with City National Bank (“Credit Facility”). Borrowings are made at the discretion of the Investment Advisor. The Funds are jointly and severally liable for the outstanding borrowings.

The Maturity Date is the earliest of May 26, 2025 or 45 days prior to the date when the Funds no longer have the right to call capital for the purpose of repaying indebtedness. In addition, any borrowing request under the Credit Facility may be approved or denied by City National Bank in its sole and absolute discretion.

The Credit Facility has a closing fee of 0.20% times the Maximum Revolver Amount (as defined in the Credit Facility agreement). The Credit Facility bears interest at the Funds discretion at either a Base Rate or at a SOFR-Based Rate (as defined in the Credit Facility agreement). Base Rate Loans bear interest at the Prime Rate less 0.25%; provided that at no time shall the rate be less than 2.50%. SOFR Loans bear interest at an applicable SOFR-Based Rate plus a margin 1.80%. Interest on Base Rate and Daily Simple SOFR Loans are payable in arrears on the first business day of each fiscal quarter and at maturity. Interest on Term SOFR Loans are payable three months from the commencement of the Loan, the maturity of the SOFR contract, or at maturity.

The revolving Credit Facility agreement contains certain financial and non-financial covenants. During the year ended December 31, 2024, the Funds were in compliance with each of its covenants.

6. Repurchase Facility

As of December 31, 2024, the Master Fund had master repurchase agreements and borrowings outstanding with Royal Bank of Canada and Barclays Bank PLC. The repurchase agreements bear interest at contractually agreed upon rates. Repurchase agreements are being accounted for as secured borrowings since a consolidated subsidiary of the Master Fund maintains control of the financed assets. Repurchase agreements are collateralized by investments, and under the agreement, the respective lender retains the rights to mark the underlying collateral to fair value. If the aggregate market value of a purchased security is less than the aggregate margin amount, then the buyer may notify the seller to transfer additional cash or securities (“Margin Call”), so that the aggregate market value of the securities and cash collateral will thereupon equal or exceed the market value of the purchased security. Cash collateral held by counterparties at December 31, 2024 was $5,729,000, included as restricted cash on the combined statement of assets, liabilities and capital. In addition, the repurchase agreements are subject to certain financial and non-financial covenants. The Master Fund, as guarantor, was in compliance with these covenants at December 31, 2024.

The following chart summarizes certain characteristics of the Master Fund’s repurchase agreements, as of December 31, 2024:

Counterparty	Collateral Type	Trade Date	Maturity Date	Interest Rate	Investments Held as Collateral, at Fair Value
Royal Bank of Canada	Investments	12/6/2024	6/9/2025	SOFR + 1.70%	$ 31,048,000
Barclays Bank PLC [1]	Investments / Restricted cash	12/10/2024	3/10/2025	SOFR + 1.65%	41,104,239
Barclays Bank PLC [2]	Investments / Restricted cash	7/3/2024	1/6/2025	SOFR + 2.00%	42,127,297
					$ 114,279,536

[1] Effective 3/10/2025, maturity date is 6/9/2025 at SOFR + 1.50%.
[2] Effective 1/7/2025, maturity date is 7/16/2025 at SOFR + 1.85%.

7. Related Party Transactions

The Funds have agreed to pay the Investment Advisor or its affiliate a management fee in the amounts and at the times provided under the governing documents of the investors. For the year ended December 31, 2024, the management fees were $2,830,612. There were no Placement Fees, Excess Organizational Expenses, or Transaction Fees offsetting management fees as of December 31, 2024. Management fees payable were $889,401 as of December 31, 2024.

8. Capital Transactions

Allocation of Income and Losses - Profits and losses of the Funds shall be allocated among the Partners so as to reduce, proportionately, the difference between their respective target capital accounts and partially adjusted capital accounts as of the end of such allocation year, with the intention to cause each Partner’s partially adjusted capital accounts to equal, as nearly as possible, such Partner’s target capital accounts. The target capital account is an amount equal to the hypothetical distribution such Partner would receive if all Fund assets were sold for cash equal to their gross asset values, all Fund liabilities were satisfied to the extent required by their terms, and the net proceeds were distributed in full to the Partner as of the last day of the year. The partially adjusted capital account is the capital balance of such Partner in the Fund as of the beginning of the year, adjusted for all contributions, distributions and special allocations with respect to such year but before giving effect to any allocations of net income (loss).

Distributions - Cash received by the Funds from investments during the Commitment Period shall be retained by the Funds and reinvested, provided that the General Partner may determine, in its discretion, to make distributions of such cash. Distributable Cash in any Sub-Series Account maintained for any Limited Partner with respect to an Ultimate Investor shall be distributed to that Limited Partner for ultimate distribution to such Ultimate Investor, however, distributions to the Aggregation Fund and General Partner will be distributed in the following order of priority:

(i) 100% to Aggregation Fund until Aggregation Fund has received in respect to such Ultimate Investor:
  (a) Aggregate distributions equal to each Ultimate Investor's aggregate capital contributions;

  (b) Aggregate distributions representing a priority return of 7% per annum, compounded annually, on the balance of each Ultimate Investor's unreturned capital contributions;

(ii) 50% to the General Partner and 50% to the Aggregation Fund until the General Partner has received 15% of the sum of all distributions made with respect to the priority return and this second provision of the distribution priority in respect to such Ultimate Investor.

(iii) Thereafter, 85% to the Aggregation Fund and 15% to the General Partner. The distributions to the General Partner in (ii) above, and this section, represent the Carried Interest allocation in respect to such Ultimate Investor.

The Investment Advisor may elect to waive or rebate the Carried Interest allocation with regard to certain Limited Partners without offering the same opportunity to other Limited Partners. As of December 31, 2024, $519,465 of Carried Interest has been allocated to the General Partner, of which $347,118 has been paid in form of Tax Distributions.

To the extent, after the final distribution, the General Partner has received an Excess Carried Interest allocation, then the General Partner will return an amount equal to the Excess Carried Interest allocation to the Partnership, provided that the General Partner will not be required to return to the Partnership any amount in excess of the cumulative Carried Interest allocation actually received by the General Partner net of taxes imposed on such Carried Interest allocation.

Non-controlling Interest – In December 2022, the REIT Fund issued 125 non-voting preferred shares to unrelated third parties with a par value of $1,000 per share. Each share accrues a preferred return payable semi-annually at 12.0% per annum and is recognized as dividends to non-controlling interest on the combined statement of assets, liabilities, and capital.

Termination or Liquidation - The term of the Funds commenced on April 7, 2022 and shall continue until the Funds are finally wound up and its assets distributed to the Fund's creditors and Partners pursuant to the Agreement. The General Partner will use commercially reasonable efforts to liquidate all investments by the fifth anniversary of the termination of the Commitment Period, subject to extensions (i) by the General Partner, in its sole discretion, for an additional one-year period, and (ii) with the consent of the Advisory Committee, for another additional one-year period, or (iii) longer with the consent of a Majority in Interest of the Investors.

9. Commitments and Contingencies

Legal Actions - The Funds, from time to time, may be subject to litigation and claims arising in the normal course of business. The Funds are also subject, from time to time, to reviews, inquiries and investigations by regulatory agencies that have regulatory authority over the Funds' business activities.

The Funds are currently not subject to any pending judicial, administrative or arbitration proceedings that are expected to have a material impact on the Funds' results of operations or financial condition.

Other Contingencies - In the normal course of business, the Funds enter into contracts that contain a variety of representations and warranties and which provide general indemnifications. The Funds' maximum exposure under these arrangements is unknown, as this would involve future claims that may be made against the Funds that have not yet occurred. However, based on experience, the Funds expect the risk of loss to be remote. In connection with certain of the Funds' investments in SPVs, the Funds have given certain guarantees, including but not limited to, guarantees of principal and interest payment in the event of fraudulent activity resulting in default, construction project completion guarantees, and guarantees of the SPV to observe or perform certain covenants, conditions, agreements or obligations under various real property credit agreements. The Funds have not been required to perform under any of these guarantees during the year ended December 31, 2024. The Funds' maximum exposure under these guarantees is unknown, as this would involve future claims that may be made against the Funds that have not yet occurred. However, based on experience, the Funds expect the risk of loss to be remote.

Under the terms of the master repurchase agreements, the Master Fund, as guarantor, has a full payment guarantee to Royal Bank of Canada and Barclays Bank PLC.

Under the terms of the match-term senior participation for the JP Morgan Facility Portfolio, the REIT Fund and feeder funds have a funding guaranty that guarantees funding of the REIT Fund's share of unfunded commitments of the individual portfolio loans.

10. Financial Highlights

The FASB ASC Topic on investment company accounting requires that the Funds, as nonregistered investment companies, disclose financial accounting highlights consisting of the internal rate of return since inception and expense and net investment income (loss) ratios.

The following summarizes the Funds' internal rate of return since inception through December 31, 2024.

Internal Rate of Return, Since Inception	2024	2023
Internal rate of return, since inception	12.51%	11.14%

The internal rate of return is calculated based on a dollar-weighted internal rate of return methodology, net of fees and incentive allocation. It is computed on a since-inception basis using the actual dates of cash flows received by and outflows paid to investors and including ending capital as of the measurement date.

Ratios of Expenses, Carried Interest, and Net Investment Income (Loss)	2024
Operating expense ratio	9.70%
Carried Interest ratio	0.31%
Total expense and Carried Interest ratio	10.01%
Net investment income (loss) ratio	7.73%

The operating expense, Carried Interest, and net investment income (loss) ratios are calculated using weighted average capital for the year ended December 31, 2024, net of management fees. Net increase (decrease) in capital resulting from operations is assumed to be earned on the last day of each quarter when calculating weighted average partners' capital.

11. Subsequent Events

In preparing the financial statements, the Funds' management evaluated subsequent events occurring through March 31, 2025, the date the financial statements were available to be issued, in accordance with the Funds' policy related to disclosures of subsequent events.